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CISI Diploma in Investment Compliance

Regulation and Compliance

Chapter 1 Portal Slides

Knowledge | Skills | Conduct

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Chapter 1 Modules Overview

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Chapter 1 Modules Overview

Chapter summary

- Legal background
- Background to UK Financial Services Regulation
- The Regulatory Framework under FSA 2012
- Regulator Principles, Duties and Ethics
- Regulated Activities and the General Prohibition
- Authorised and Exempt Persons

Chapter summary (cont.)

- Penalties for breaching FSMA 2000
- MiFID
- EEA Passport Regime
- Brexit and the EU
- Collective Investment Schemes

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Legal Background

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Sources of law and regulation

Sources of regulation

- **Statute** (i.e. laws made by the UK government)
  - e.g. CJA 1993, FSMA 2000, POCA 2002, CA 2006, etc.
- **Non-statutory** (i.e. rules made by some other body or organisation)
  - e.g. Takeover Code, UK Corporate Governance Code, JMLSG Guidance Notes, etc.

  Note: Be aware of consequences of transgression of statute/non-statutory rule

Principles-based approach

High-level rules and guidance

Flexibility to support innovation

Reliance on ethical standards

Rules-based approach

Specific and detailed

Prescriptive

Box-ticking

Legal Actions

Legal actions (in a court of law)

- **Criminal** (State acts as prosecutor) (e.g. ‘R v. Smith’ or ‘R v. Jones plc’)
  - Proof required: ‘Beyond all reasonable doubt’
  - Punishment: Jail and/or fine
    - ‘Summary conviction’ – magistrates court, used for minor offences
    - ‘Conviction on indictment’ – Crown court, used for more serious offences
- **Civil** (usually private – plaintiff/defendant) (e.g. ‘Smith v. Jones plc’)
  - Proof required: ‘Balance of probability’
  - Outcome: Damages (monetary compensation) or other remedy
- The FCA/PRA have civil enforcement powers for certain financial market offences (e.g. market abuse, under s123 FSMA 2000)
- The Upper Tribunal (Tax and Chancery Chamber) hears appeals against FCA, PRA or pensions regulator decisions

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Background to UK Financial Services Regulation

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Background Research

I mentioned this in the course introduction – research the following and have an opinion:

- Understand the changes in the UK financial services industry's regulatory structure that have occurred since the 1970s up to now – What happened, and why?
  - Focus in particular on 2001 to now
  - The financial crisis of 2007–9: briefly, what happened, and why?
- Do the results of these changes justify the cost, time and effort involved?
- How is the current regulatory structure changing as a result of Brexit?
  - What kind of opportunities and challenges does this pose for UK firms?

Original Regulatory Structure under FSMA 2000

(1.1.1) The 'Tripartite Authorities'

- **Treasury (HMT)**
  - Responsible for the legal framework within which regulation is conducted (including international issues)
- **Bank of England (BoE)**
  - Responsible for monetary policy (via Monetary Policy Committee) and payment systems
  - Responsible for maintaining the stability of the financial system as a whole
- **Financial Services Authority (FSA)**
  - Responsible for authorisation and day-to-day supervision of ALL regulated firms
  - Responsible for regulating all financial markets

Weaknesses of Tripartite System

Treasury

- No clear responsibility for dealing with a crisis which put tens of billions of pounds worth of public funds at risk

Bank of England

- Not provided with the tools to carry out their financial stability role effectively
  - Lack of microprudential viewpoint
  - Lack of power to intervene into individual banks' operations

FSA

- Expected to deal with issues ranging from the safety and soundness of the largest global investment banks to the customer practices of the smallest high-street financial advisor
  - Lack of macroeconomic viewpoint
  - Lack of 'fit' between systemic and consumer protection supervision roles
  - Sheer volume of information caused information overload and bureaucratic paralysis
  - FSA became entirely reactive, and far too slow, in dealing with risks

Changes to FSA Approach Following the Financial Crisis

Approach of FSA

- End of ‘light touch’ regulation of banks and other large financial institutions
  - Eliminating the somewhat naïve assumption that larger firms must be safer and better-run than smaller firms
- Introduction of Supervisory Enhancement Programme (SEP)
  - More intrusive (i.e. aggressive and interventionist) supervision of high-impact firms and senior managers
- Increased focus and concentration on risk
  - Not just checking the mere presence of systems and controls (‘box-ticking’ approach)
  - A move to making judgements about the riskiness of business models, aims and strategies

Legislative Changes Following the Financial Crisis

(1.1.13) Banking Act 2009

- Introduced Special Resolution Regime (SRR) for dealing with banks in financial difficulty – three ‘resolution mechanisms’
  - Sale to private sector buyer
  - Transfer to subsidiary of Bank of England prior to dismemberment and sale
  - Temporary nationalisation

(1.1.11) Financial Services Act 2010

- Introduced new powers for FSA
  - New financial stability objective
  - New powers to oversee remuneration of senior managers (evolved into SYSC 19)
  - New enforcement powers, and powers to require firms to improve consumer redress

Legislative Changes Following the Financial Crisis

(1.1.14) Financial Services Act 2012

- Dismantled the failed ‘tripartite’ system, and replaced it with the ‘twin peaks’ approach, by amending FSMA 2000 (see next slide)
  - Put the Bank of England back at the centre of financial regulation

(1.1.15) Financial Services (Banking Reform) Act 2013

- Introduced Senior Managers and Certification Regime (SMCR) to banks
  - To enhance individual accountability and raise standards in banking
- Introduced ‘ring-fencing’ – to protect vital banking services

(1.1.16) Bank of England and Financial Services Act 2016

- Made changes to the structure of the Bank of England/PRA
- Gradually extended SMCR to all other authorised firms

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The Regulatory Framework under FSA 2012

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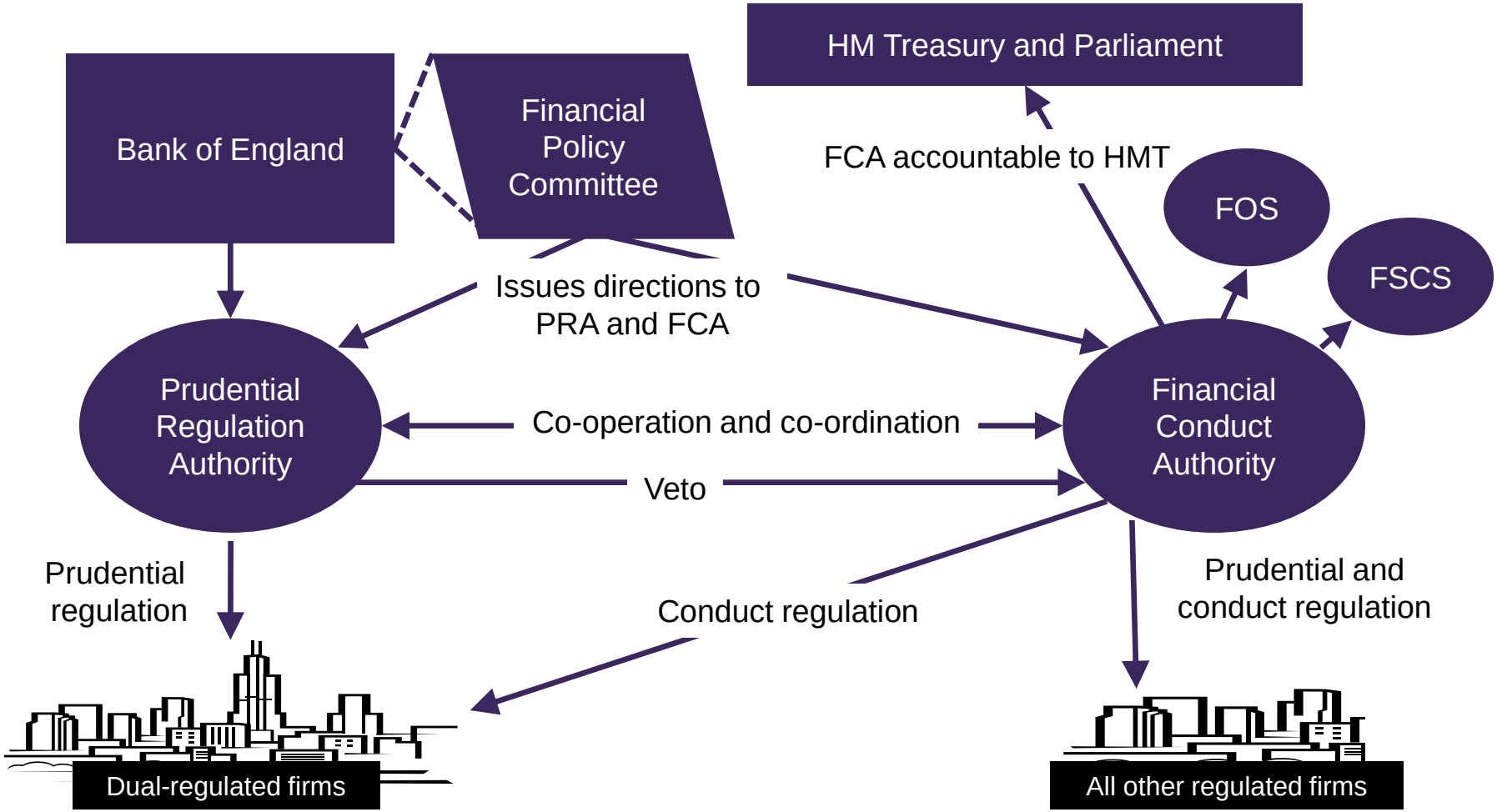
Regulatory Framework under FSA 2012

(1.1.14) The 'Twin Peaks' regime: Overview



Regulatory Framework Under FSA 2012

(1.1.12) Bank of England governance structure

- Court of Directors acts as BoE's board
- Governor, four Deputy Governors, nine non-executive directors

(1.1.14) Bank of England responsibilities

- Financial stability objective
  - Protect and enhance the stability of the UK financial system
- Financial stability strategy
  - Determined by the court, reviewed every three years
  - Coordinates BoE actions with HMT and FPC
- Regulation of Financial Market Infrastructures (FMIs)
  - Securities settlement systems (e.g. CREST)
  - Interbank payment systems (e.g. CHAPS, SWIFT)
  - Recognised clearing houses (RCHs) (e.g. LCH.clearnet)

Regulatory Framework Under FSA 2012

(1.1.14) Bank of England

- Controls macroprudential regulation
- Prudential Regulation Authority (PRA)
  - Exercises microprudential regulation over systemically important firms
  - Accountable to FPC

Main Bank of England committees

- Financial Policy Committee (FPC)
  - Monitors the economy and issues affecting financial stability
  - May direct PRA or FCA to take action against a firm
- Prudential Regulation Committee (PRC)
  - Acts as the PRA's Board
  - Makes the PRA's most important supervisory and policy decisions

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Regulator Principles, Duties and Ethics

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Principles of Good Regulation

(1.1.1) Principles of good regulation

In discharging their general functions, the regulators must pay regard to:

1. Efficient and economic use of their resources
2. Burden of regulation to be proportionate to expected benefit
3. Desirability of sustainable growth in UK economy
4. General principle that consumers should be responsible for their decisions
5. Responsibilities of firms' senior management to comply with regulatory framework
6. Regulator to recognise differences in nature and objectives of different businesses
7. Desirability of publishing (or requiring regulated persons to publish) information
8. Regulatory functions to be exercised as transparently as possible

Regulator Duties

(1.1.14) Duty to consult

- FCA/PRA practitioner panels
- FCA Smaller Business Practitioner Panel
- FCA Markets Practitioner Panel
- FCA Consumer Panel

FCA/PRA annual reports to Treasury

- On discharge of its functions and advancement of its objectives

Treasury review of the FCA's / PRA's performance (ad hoc)

- Conducted by an independent party
- Examines the regulator's economy, efficiency and effectiveness

Penalty receipts (fines, etc.) of regulators

- Must be handed over to the Treasury each year (net of enforcement costs)

The FCA and PRA have statutory immunity from legal actions

The Role of Regulators for High Ethical Standards

(1.1.15) Regulators and ethics

- FSA DP18: An ethical framework for financial services
  - Purpose of DP 18 was to stimulate discussion about raising ethical standards
  - FSA/FCA's overall approach, driven by FSMA, is values-based
    - Definition of any statutory role for ethical conduct would be very difficult
  - FSMA 2000 and FCA's principles-based approaches are a framework of core values
  - In summary, these core values are:
    - Being open, honest, responsive and accountable
    - Being committed to acting competently, responsibly and reliably
    - Relating to colleagues and customers fairly and with respect
- FS(BR)A 2013: The SMCR regime and holding individuals to account
  - The Senior Managers Regime
  - The Certification Regime
  - The Conduct Rules

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Regulated Activities and the General Prohibition

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The General Prohibition (FSMA, s.19)

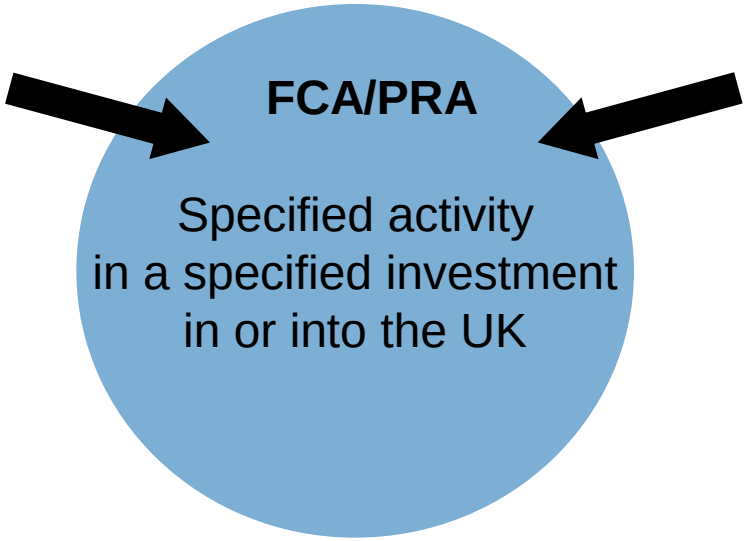
(1.1.2) General prohibition (S19 FSMA 2000)

'No person may carry on a regulated activity in the UK unless they are an authorised person or an exempt person'.

- Regulated activity
  - Regulated Activities Order 2001
    - Specified activity undertaken with a specified investment

Authorised person
- Part 4A permission

Exempt person
e.g. Bank of England



Types of Specified Activity

(1.1.2) Specified activities can be divided into:

- Designated investment business
  - These are the activities that COBS applies to; for example stockbroking, investment advice, fund management, etc.
- Other specified activities
  - e.g. retail banking, mortgages, general insurance, etc. – these activities are covered by other FCA sourcebooks, not COBS

Also, it is worth noting that there are separate sub-definitions for:

- **MiFID business** (these are the business activities to which the MiFID rules apply – these are narrower in scope than UK specified activities)
- **Eligible counterparty (ECP) business** (relevant for determining ‘eligible counterparty’ status under COBS)

Specified Activities

(1.1.2) Designated investment business

- Dealing in investments
- Arranging deals in investments
- Managing investments
- Advising on investments
- Operating a multilateral trading facility (MTF) or organised trading facility (OTF)
- Safeguarding and administering investments (e.g. acting as a custodian)
- Sending dematerialised instructions (e.g. electronic money transfer)
- Life assurance
- Establishing, operating or winding up a collective investment scheme or pension scheme
- Acting as trustee of an AUT (or as depositary of an OEIC)
- Activities relating to the setting of benchmarks

Specified Activities

(1.1.2) Other specified activities

- General insurance activities and funeral plan contracts
- Lloyd’s activities
- Mortgages: provision, administration, advising and arranging
- Other home finance activities
- Accepting deposits by way of business and issuing electronic money

Specified Investments

(1.1.2) Specified investments

- Shares
- Bonds
- Gilts
- Warrants, ADRs/GDRs (forms of equity)
- Units in funds
- Options
- Futures
- Contracts for differences (CFDs)
- Contracts of insurance
- Lloyd's syndicates
- Deposits
- Loans and other forms of credit
- Contracts for hire of goods
- Rights to specified investments (e.g. repo agreements)

Note: FSMA does **not** cover commodities, nor tangible assets – e.g. houses, gold, paintings, vintage wine. Also **excluded** are currencies (spot and forward deals) and NS&I products, such as premium bonds.

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Authorised and Exempt Persons

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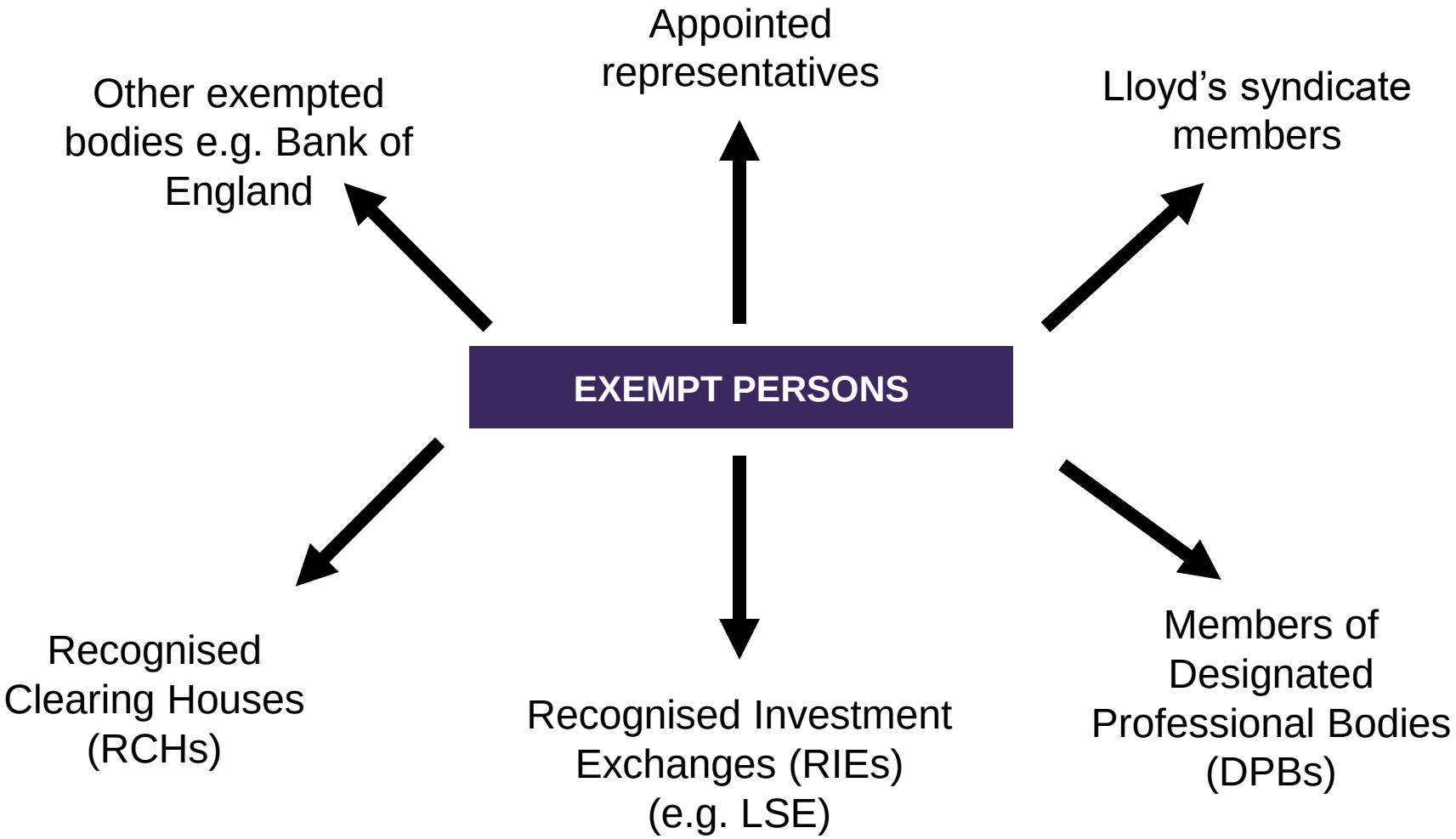
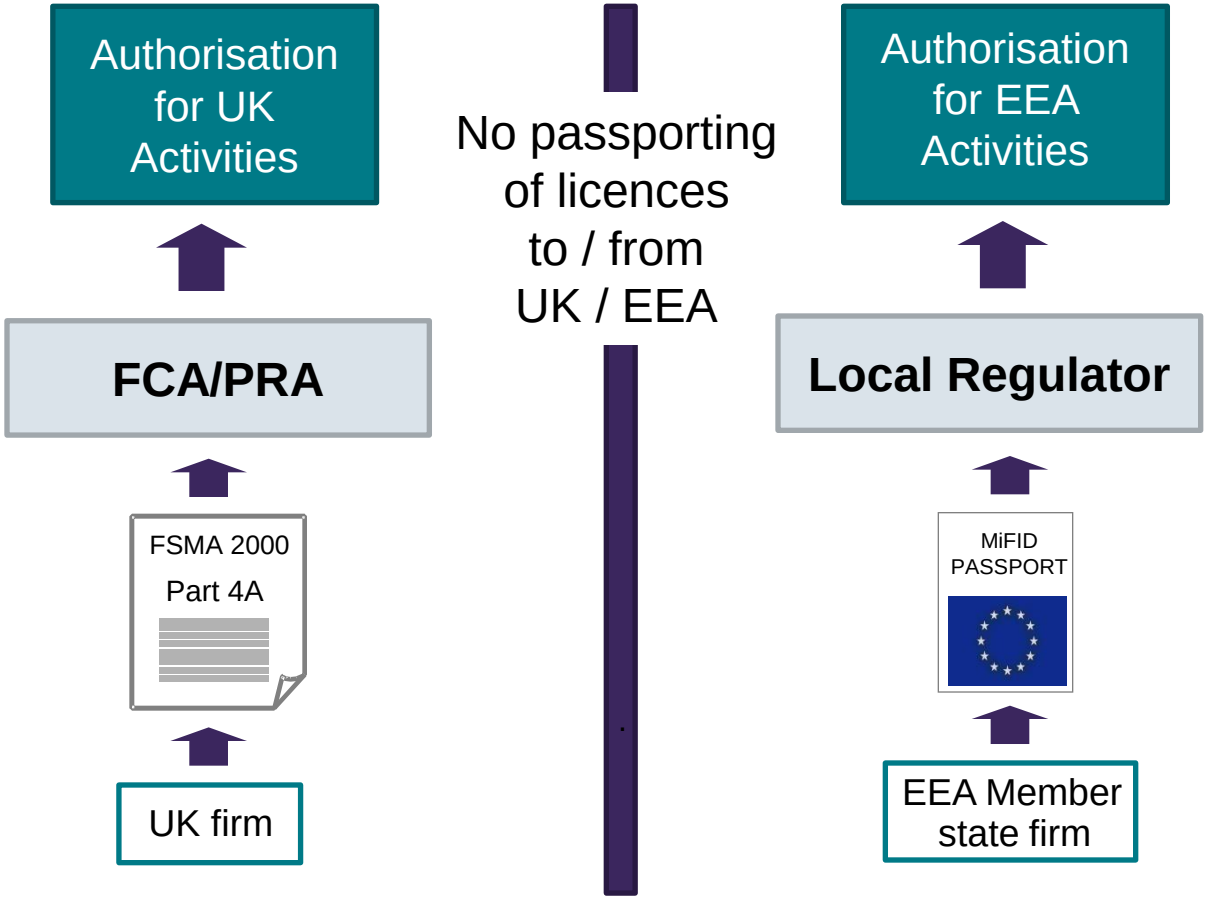
Exempt Persons

(1.1.3) Exempt persons: summary



Authorisation

(1.1.3) Authorisation: summary



Routes to Authorisation

(1.1.3) Statutory routes to authorisation (FSMA, s.31(1))

- Person with Part 4A permission
- Treaty firm qualifying under Schedule 4
- Person otherwise authorised under the Act

Part 4A permission (FSMA, s.20)

- UK firms (or individuals, if sole traders) apply to the regulator for permission to carry on one or more regulated activities
  - Note: The permission, once granted, gives authorisation to the applicant in respect of the permitted activity/activities only.

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Penalties for breaching FSMA 2000

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FSMA Penalties: Authorisation Offences

(1.1.2) Section 23: unauthorised regulated activity (breach of s19 General Prohibition or s21 Financial Promotions restriction)

- Summary (magistrates court): six months in jail/£5,000 fine
- Indictment (crown court): Two years in jail/unlimited fine

Section 24: false claim to be authorised/exempt

- Six months in jail/£5,000 fine

Section 26: civil consequences of breaching s19/s21

- Contract unenforceable
- Money/other property recoverable
- Compensation for any loss arising
- Court may allow the agreement to be enforced by customer (if it considers this to be ‘just and equitable’)

FSMA Penalties: Breaches of Statutory Duty

(1.1.5) Section 56: prohibition order

- The regulator can issue a Prohibition Order if an individual is not fit and proper
  - This prevents the subject of the Order from working for, directing, or owning more than 20% of, an authorised firm

Section 59: controlled functions

- A firm must ensure that an individual does not perform a controlled function unless they are an approved person
  - This means the individual has been assessed as ‘fit and proper’ by the Regulator to carry out the relevant senior manager function

Section 71: suing firms for breaching s56 or s59

- A private person may sue a firm for breach of s.56 (employing a prohibited individual) or s.59 (allowing an unapproved person to perform a controlled function)

Section 138D: suing firms for breaching rules

- A private person may sue a firm for breach of a rule (e.g. COBS rule) if they suffer loss as a result

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MiFID

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MiFID Regulations

(1.2.5) Markets in Financial Instruments Directive (MiFID)

- Creates common standards of business for investment firms and investment markets in the financial services industry
  - Most UK financial services regulation is affected by MiFID
    - Conduct of firms
    - Transparency of markets
    - Investor protection
    - Product intervention
- EU MiFID
  - Harmonises regulations across EEA
  - Allows passporting of MiFID business across EEA
- UK MiFID
  - Part of UK law, applies to UK firms
  - UK firms cannot use the MiFID passport

MiFID Business

(1.2.5) MiFID activities

- Core activities
  - Reception and transmission of orders
  - Execution of orders
  - Portfolio management
  - Investment advice (personal recommendations)
  - Underwriting and placing
  - Operating an MTF or OTF
- Ancillary services include:
  - Safekeeping and administration
  - Loans to carry out transactions
  - Investment research and financial analysis

MiFID Business

(1.2.5) MiFID instruments

- Transferable securities
- Money market instruments
- Units in collective investment schemes
- Derivatives relating to securities, currencies, interest rates or yields
- Commodity derivatives
- Credit derivatives
- Financial contracts for differences
- Other (‘exotic’) derivatives (e.g. based on climate variables/other statistics)

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Brexit and the EU

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Brexit overview

(1.1.19) Brexit implications and the Financial Services and Markets Act 2023

- Britain voted to leave the EU in 2016
  - Much financial regulation in UK stemmed from EU law, which continued to apply in the UK until 31 December 2020
  - UK firms lost their passporting rights into the EEA (and vice versa)
- Onshoring
  - EU (Withdrawal) Act 2018 drafted all EU Regulations into UK law
  - Parliament can pass laws to ‘diverge’ from EU regulations over time
- Financial Services and Markets Act 2023 (amongst other things)
  - Maintain UK’s position as an open and global financial hub
  - Harness opportunities of innovative technologies in financial services
  - New FCA/PRA secondary objectives to boost UK economy’s international competitiveness
  - Support levelling up, promote financial inclusion and consumer protection

EU Legislative Process

(1.2.1) EU Institutions

- The **Commission** – initiates policy proposals/legislation
- The **Parliament** – debates/co-decides on laws
- The **Council** – coordinates economic policies/co-decides on laws

Types of EU Secondary Legislation

- **Regulations** – directly binding on member states
- **Directives** – implemented by member states in national law
- **Decisions** – directly binding on those (member states/enterprises) to whom addressed
- **Recommendations** – not binding

European Supervisory Authorities (ESAs)

(1.2.2) Financial Supervision in Europe

- There are three European Supervisory Authorities (ESAs), which cooperate and coordinate with national regulators
  - ESAs help create a single EU rulebook in financial services
- European Banking Authority (EBA)
  - Helps EC/ECB supervise banks
- European Insurance and Occupational Pensions Authority (EIOPA)
  - Helps protect insurance policyholders and pension scheme members and beneficiaries
- European Securities and Markets Authority (ESMA)
  - Helps ensure orderly securities markets, and enhances investor protection

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Collective Investment Schemes

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Collective Investment Schemes (CIS)

(1.1.10) Collective Investment Schemes (CIS)

- Definition (s235 FSMA): an arrangement under which persons collectively agree to pool property and to receive returns, but are not involved in managing of the fund

Collective investment schemes in the UK

- Regulated
  - Authorised (UK)
    - *Retail funds*
    - *'Qualified investor' schemes*
  - Recognised (Offshore)
    - *Designated Territories (s.270)*
    - *Individual application (s.272)*
- Unregulated (e.g. hedge funds)
  - *Unauthorised UK funds*
  - *Unrecognised overseas funds*

Collective Investment Schemes (CIS)

(1.3.7) UCITS directive

- A common set of regulatory standards applied to open-ended funds
  - Allows passporting of UCITS-compliant funds
  - EEA UCITS schemes can then be marketed throughout the EEA

Promotion of unregulated CIS

- Heavily restricted
  - Existing participants in same/similar scheme (or in previous 30 months)
  - Professional clients (whether or not existing clients)
  - Persons on mailing list willing to accept details of unregulated schemes